



Charitable Donations and Gifts (2023 and later tax years)

Corporation's name	Business number	Tax year-end		
		Year	Month	Day

- For use by corporations to claim any of the following:
 - the eligible amount of charitable donations to qualified donees
 - the Ontario, Nova Scotia, and British Columbia food donation tax credits for farmers
 - the eligible amount of gifts of certified cultural property
 - the eligible amount of gifts of certified ecologically sensitive land or
 - the additional deduction for gifts of medicine made before March 22, 2017
- All legislative references are to the federal Income Tax Act, unless stated otherwise.
- The eligible amount of a gift is the amount by which the fair market value of the gifted property exceeds the amount of an advantage, if any, for the gift.
- The donations and gifts can be carried forward for 5 years except for gifts of certified ecologically sensitive land made after February 10, 2014, which can be carried forward for 10 years.
- Use this schedule to show a transfer of unused amounts from previous years following an amalgamation or the wind-up of a subsidiary as described under subsections 87(1) and 88(1).
- Subsection 110.1(1.2) provides as follows:
 - Where a particular corporation has undergone an acquisition of control, for tax years that end on or after the acquisition of control, no corporation can claim a deduction for a gift made by the particular corporation to a qualified donee before the acquisition of control.
 - If a particular corporation makes a gift to a qualified donee pursuant to an arrangement under which both the gift and the acquisition of control is expected, no corporation can claim a deduction for the gift unless the person acquiring control of the particular corporation is the qualified donee.
- An eligible medical gift made before March 22, 2017, to a qualifying organization for activities outside of Canada may be eligible for an additional deduction. Calculate the additional deduction in Part 5.
- File this schedule with your T2 Corporation Income Tax Return.
- For more information, see the T2 Corporation – Income Tax Guide.

Part 1 – Charitable donations

Charitable donations at the end of the previous tax year		1A
Charitable donations expired after five tax years	239	
Charitable donations at the beginning of the current tax year (amount 1A minus line 239)	240	
Charitable donations transferred on an amalgamation or the wind-up of a subsidiary	250	
Total charitable donations made in the current year (include this amount on line 112 of Schedule 1, Net Income (Loss) for Income Tax Purposes)	210	
Subtotal (line 250 plus line 210)		1B
Subtotal (line 240 plus amount 1B)		1C
Adjustment for an acquisition of control	255	
Total charitable donations available (amount 1C minus line 255)		1D
Amount applied in the current year against taxable income (cannot be more than amount 2H in Part 2) (enter this amount on line 311 of the T2 return)	260	
Charitable donations closing balance (amount 1D minus line 260)	280	

Part 1 – Charitable donations (continued)

The amount of qualifying donations for the Ontario community food program donation tax credit for farmers included in the amount on line 260 (for donations made after December 31, 2013) **262** _____

Ontario community food program donation tax credit for farmers
(amount on line 262 **multiplied** by 25%) **1**

Enter amount 1 on line 420 of Schedule 5, Tax Calculation Supplementary – Corporations. The maximum you can claim in the current year is whichever is less: the Ontario income tax otherwise payable or amount 1. For more information, see section 103.1.2 of the Taxation Act, 2007 (Ontario).

The amount of qualifying donations for the Nova Scotia food bank tax credit for farmers included in the amount on line 260 (for donations made after December 31, 2015) **263** _____

Nova Scotia food bank tax credit for farmers (amount on line 263 **multiplied** by 25%) **2**

Enter amount 2 on line 570 of Schedule 5, Tax Calculation Supplementary – Corporations. The maximum you can claim in the current year is whichever is less: the Nova Scotia income tax otherwise payable or amount 2. For more information, see section 50A of the Nova Scotia Income Tax Act.

The amount of qualifying gifts for the British Columbia farmers' food donation tax credit included in the amount on line 260 (for donations made after February 16, 2016, and before January 1, 2027) **265** _____

British Columbia farmers' food donation tax credit (amount on line 265 **multiplied** by 25%) **3**

Enter amount 3 on line 683 of Schedule 5, Tax Calculation Supplementary – Corporations. The maximum you can claim in the current year is whichever is less: the British Columbia income tax otherwise payable or amount 3. For more information, see section 20.1 of the British Columbia Income Tax Act.

Part 2 – Maximum allowable deduction for charitable donations

Net income for tax purposes ([Note 1](#)) **multiplied** by 75% **2A**

Taxable capital gains arising in respect of gifts of capital property included in Part 1 ([Note 2](#)) **225** _____

Taxable capital gain in respect of a disposition of a non-qualifying security under subsection 40(1.01) **227** _____

The amount of the recapture of capital cost allowance in respect of charitable donations **230** _____

Proceeds of disposition,
less outlays and expenses ([Note 2](#)) **2B**

Capital cost ([Note 2](#)) **2C**

Amount 2B or 2C, whichever is less **235** _____

Amount on line 230 or 235, whichever is less **2D**

Subtotal (**add** lines 225, 227, and amount 2D) **2E**

Amount 2E **multiplied** by 25% **2F**

Subtotal (amount 2A **plus** amount 2F) **2G**

Maximum allowable deduction for charitable donations

(enter amount 1D from Part 1, amount 2G, or net income for tax purposes, whichever is the least) **2H**

Note 1: For credit unions, this amount is before the deduction of bonus interest payments and payments pursuant to allocations in proportion to borrowing made by the credit union that is otherwise deductible under subsection 137(2).

Note 2: This amount must be prorated by the following calculation: eligible amount of the gift **divided** by the proceeds of disposition of the gift.

Part 3 – Gifts of certified cultural property

Gifts of certified cultural property at the end of the previous tax year	3A
Gifts of certified cultural property expired after five tax years	439
Gifts of certified cultural property at the beginning of the current tax year (amount 3A minus line 439)	440
Gifts of certified cultural property transferred on an amalgamation or the wind-up of a subsidiary	450
Total gifts of certified cultural property in the current year	410
(include this amount on line 112 of Schedule 1)	
Subtotal (line 450 plus line 410)	3B
Subtotal (line 440 plus amount 3B)	3C
Adjustment for an acquisition of control	455
Amount applied in the current year against taxable income	460
(enter this amount on line 313 of the T2 return)	
Subtotal (line 455 plus line 460)	3D
Gifts of certified cultural property closing balance (amount 3C minus amount 3D)	480

Part 4 – Gifts of certified ecologically sensitive land

Gifts of certified ecologically sensitive land at the end of the previous tax year	4A
Gifts of certified ecologically sensitive land expired after 5 tax years, or after 10 tax years for gifts made after February 10, 2014	539
Gifts of certified ecologically sensitive land at the beginning of the current tax year (amount 4A minus line 539)	540
Gifts of certified ecologically sensitive land transferred on an amalgamation or the wind-up of a subsidiary	550
Total current-year gifts of certified ecologically sensitive land	520
(include this amount on line 112 of Schedule 1)	
Subtotal (line 550 plus line 520)	4B
Subtotal (line 540 plus amount 4B)	4C
Adjustment for an acquisition of control	555
Amount applied in the current year against taxable income	560
(enter this amount on line 314 of the T2 return)	
Subtotal (line 555 plus line 560)	4D
Gifts of certified ecologically sensitive land closing balance (amount 4C minus amount 4D)	580

Part 5 – Additional deduction for gifts of medicine

Additional deduction for gifts of medicine at the end of the previous tax year 5A

Additional deduction for gifts of medicine expired after five tax years **639**

Additional deduction for gifts of medicine at the beginning of the current tax year (amount 5A **minus** line 639) **640**

Additional deduction for gifts of medicine made before March 22, 2017 transferred on an amalgamation or the wind-up of a subsidiary **650**

Additional deduction for gifts of medicine made before March 22, 2017:

Proceeds of disposition **602**

Cost of gifts of medicine made before March 22, 2017 **601**

Subtotal (line 602 **minus** line 601) 5B

Amount 5B **multiplied** by 50% 5C

Eligible amount of gifts **600**

$$a \times \left(\frac{b}{c} \right) = \text{Additional deduction for gifts of medicine made before March 22, 2017} \quad \mathbf{610}$$

where:

a is the **lesser** of line 601 and amount 5C

b is the eligible amount of gifts (line 600)

c is the proceeds of disposition (line 602)

Subtotal (line 650 **plus** line 610) **5D**

Subtotal (line 640 **plus** amount 5D) **5E**

Adjustment for an acquisition of control **655**

Amount applied in the current year against taxable income **660**
(enter this amount on line 315 of the T2 return)

Subtotal (line 655 **plus** line 660) **5F**

Additional deduction for gifts of medicine closing balance (amount 5E **minus** amount 5F) ([Note 3](#)) **680**

Note 3: The amount at line 680 is not available for carryforward.

Part 6 – Amount available for carryforward by year of origin

You can complete this part to show all the donations and gifts from previous years available for carryforward by year of origin. This will help you determine the amount that could expire in following years.

Year of origin YYYY-MM-DD	Charitable donations available for carryforward	Gifts of certified cultural property available for carryforward	Gifts of certified ecologically sensitive land available for carryforward, made before February 11, 2014	Gifts of certified ecologically sensitive land available for carryforward, made after February 10, 2014
Total				